

ORIGINAL

(S E R V E D)
(JANUARY 14, 2005)
(FEDERAL MARITIME COMMISSION)

BEFORE THE FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

NICK INTERNATIONAL SHIPPING, INC. AND	)	
OLIMPIA SANDOVAL a.k.a. MARISELA CORDERO –	)	
Possible Violations of Sections 8(a) and 19 of the Shipping	)	Docket No.
Act of 1984, as well as the Commission's Regulations at	)	04-03
46 C.F.R. Parts 515 and 520	)	

**ORDER APPROVING SETTLEMENT;
ORDER TO CEASE AND DESIST**

This case is before me on an Order of Investigation issued by the Commission on February 9, 2004. The Order began an inquiry into whether Nick International Shipping, Inc. and/or Olimpia Sandoval had violated the Shipping Act of 1984 and implementing regulations. The Order directed that in the event violations were found I should consider the assessment of civil penalties and the entry of an appropriate cease and desist order.

The Bureau of Enforcement conducted the initial inquiry and engaged the respondents in discovery. Based on the information developed in that process, the Bureau of Enforcement conducted discussions with the respondents on appropriate means of resolution of this controversy without the need for a hearing. The result of these discussions was a Settlement Agreement submitted by joint motion of all the parties for my approval.

The terms of the Settlement Agreement are quite simple. First, the respondent Nick International Shipping, Inc. admits violations of sections 8(a) and 19 of the Shipping Act of 1984 in operating as a non-vessel-operating common carrier without publishing a tariff, obtaining a license from the Commission, and providing proof of financial responsibility.

Second, respondents jointly agree and consent to the entry of a cease and desist order to prevent further violations of sections 8(a) and 19 of the Shipping Act of 1984 and implementing regulations. Third, respondents agree to pay a civil penalty of \$25,000.00 upon approval of the Settlement Agreement.

As the parties note in their motion for approval of the Settlement Agreement, there is ample authority to settle matters of this kind without the need for a judge to make findings and conclusions. *Old Ben Coal Company v. Sea-Land Service, Inc.*, 18 S.R.R. 1085, 1092 (1978). Rule 91 of the Commission's Rule of Practice and Procedure, 46 C.F.R. §502.91, incorporates the strong policy of the Commission supporting and encouraging settlement of administrative and investigative proceedings consistent with the Administrative Procedure Act, 5 U.S.C. § 554(c)(1). The regulations require that the Presiding Judge approve all such settlement agreements in formal proceedings. 46 C.F.R. § 502.603(a). In determining whether to approve a settlement the Presiding Judge must consider the nature, circumstances, extent and gravity of the violations committed as well as the effect on deterrence and future compliance with the Commission's rules and regulations. The Presiding Judge must also consider the degree of culpability, history of prior offenses, ability to pay, litigation probabilities and costs. Approval is the consequence of a delicate balancing of all these considerations.

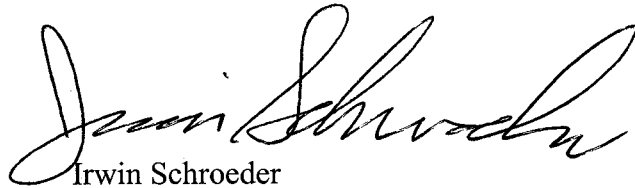
Review of the Settlement Agreement shows it is consistent with the requirements of the Shipping Act of 1984 and the implementing regulations. The combination of civil penalty and consent order assures prior violations will be redressed and future violations prevented while serving as a message of deterrence to similarly situated members of the community. I find the balance of considerations falls clearly in the direction of approval of the Settlement Agreement.

ORDER

For the reasons given above, the following items are ordered and adjudged:

1. The Joint Motion for Approval of Settlement Agreement is **GRANTED**. It is specifically found that the approval of the Agreement is in the public interest.
2. The respondents NICK INTERNATIONAL SHIPPING, INC., and OLIMPIA SANDOVAL, a.k.a. MARISELA CORDERO are ORDERED to cease and desist from holding out to operate as non-vessel-operating common carriers unless and until they have published a tariff, obtained a license from the Commission, and provided proof of financial responsibility as required by sections 8(a) and 19 of the Shipping Act of 1984.
3. Within five (5) days following the date of this Order, respondents shall make a payment to the Commission, by cashier's or certified check, in the total sum of \$25,000.00 (Twenty-Five Thousand Dollars).
4. Upon receipt of the check for \$25,000 required above, this action shall be discontinued and the Settlement Agreement will thereafter bar the commencement by the

Commission of any proceeding or other claim for civil penalties from respondents for the violations of the Shipping Act of 1984 set forth in FMC Docket No. 04-03.

A handwritten signature in black ink, appearing to read "Irwin Schroeder". The signature is fluid and cursive, with a large initial "I" and a long, sweeping underline.

Irwin Schroeder
Administrative Law Judge

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 04-03

NICK INTERNATIONAL SHIPPING, INC. AND
OLIMPIA SANDOVAL a.k.a. MARISELA CORDERO

POSSIBLE VIOLATIONS OF SECTIONS 8(a) AND 19 OF
THE SHIPPING ACT OF 1984, AS WELL AS THE COMMISSION'S
REGULATIONS AT 46 C.F.R. PARTS 515 AND 520

**SETTLEMENT AND AGREEMENT
FOR ENTRY OF CONSENT ORDER**

Whereas, the Federal Maritime Commission ("Commission") has instituted a formal proceeding, Docket No. 04-03, against the undersigned Respondents Nick International Shipping, Inc. and Olimpia Sandoval a.k.a. Marisela Cordero [hereinafter "Olimpia Sandoval"], to determine, *inter alia*, the following issues:

- 1) whether Nick International Shipping, Inc. violated section 8(a) of the 1984 Act and the Commission's regulations at 46 C.F.R. pt. 520 by operating as a common carrier without publishing a tariff showing all of its active rates and charges;
- 2) whether Nick International Shipping, Inc. and Olimpia Sandoval a.k.a. Marisela Cordero violated section 19 of the 1984 Act and the Commission's regulations at 46 C.F.R. pt. 515 by operating as non-vessel-operating common carriers in the U.S. trades without obtaining licenses from the Commission and without providing proof of financial responsibility;

Whereas, section 13(c) of the Shipping Act of 1984, and Part 502 of the Commission's Regulations, 46 C.F.R. pt. 502, authorize the Commission to enter into compromise agreements and settlements in formal proceedings arising from the alleged violations;

Whereas, Respondents have stipulated to the entry of a Consent Order based upon certain admissions of violation of the Shipping Act of 1984;

Whereas, Respondents have terminated the practices which are the basis for the alleged violations set forth herein, and have indicated their willingness to institute practices which will avoid and prevent further violations, and

Whereas, the Bureau of Enforcement and Respondents believe it is in the best interests of the parties and shipping public to resolve the above referenced proceedings rather than engage in costly litigation, the outcome and timing of which is uncertain;

NOW THEREFORE, in consideration of the premises herein, Respondents and the Bureau of Enforcement hereby agree upon the following terms:

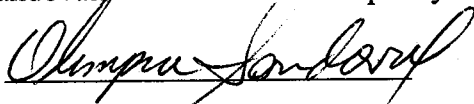
1. Respondent Nick International Shipping, Inc. hereby admits that it violated sections 8(a) and 19 of the Shipping Act of 1984 by operating as a non-vessel-operating common carrier in U.S. trades without publishing a tariff, obtaining a license from the Commission, and providing proof of financial responsibility;

2. Respondents jointly agree and consent to the entry of an Order against Respondents Nick International Shipping, Inc. and Olimpia Sandoval directing each of them to cease and desist from holding out to operate as non-vessel-operating common carriers prior to publishing a tariff, obtaining a license from the Commission, and providing proof of financial responsibility as required by sections 8(a) and 19 of the Shipping Act of 1984;
3. Within five (5) days after a decision of the Administrative Law Judge or the Commission approving this Agreement becomes administratively final, Respondents shall make monetary payment to the Commission, by cashier's or certified check, in the total amount of \$25,000 (Twenty-Five Thousand Dollars).
4. Upon approval of the terms set forth in this Agreement by the Administrative Law Judge and the Commission, this instrument shall forever bar the commencement or institution by the Commission of any civil penalty assessment proceeding or other claim for recovery of civil penalties against Respondents for the alleged violations of the Shipping Act of 1984 set forth in FMC Docket No. 04-03.
5. This Agreement is subject to approval by the Commission in accordance with 46 C.F.R. § 502.603.

6. Upon approval of this Settlement and the entry of a cease and desist order by the Commission as provided above, the Commission shall discontinue FMC Docket No. 04-03.

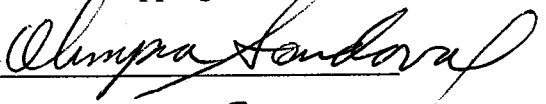
FOR THE RESPONDENTS:

Olimpia Sandoval, in her individual capacity

Signature: 

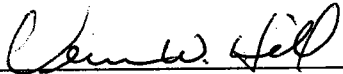
Date: 1-4-05

Nick International Shipping, Inc.

Signature: 

Date: 1-4-05

FOR THE BUREAU OF ENFORCEMENT:


Vern W. Hill, Director

Date: 1-11-05